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With a market cap of £4.2bn against a DCF intrinsic value of 2,120p (LSEG, June 2026), and an undefended takeover profile, Burberry presents three buyer archetypes, namely, Exor NV, Richemont, and L Catterton (Table 1).

	EXOR NV	RICHEMONT	L CATTERTON
WOULD (rationale)	House of Brands thesis; Louboutin 24% €541m (2021); Burberry as a scale anchor	75% hard luxury portfolio; zero soft-luxury heritage brand; YNAP exit Apr 2025.	Birkenstock precedent (acq 2021, IPO 2023), Etro 60% €500m 2021; LVMH-affiliated
COULD (capacity)	NAV €30.4bn, LTV 6.9%, €2.5bn liquidity, €3.7bn deployable 2026	€6.1bn net cash, 28.3% EBITDA margin, 9.3x interest cover	\$33bn equity capital, 6x EBITDA leverage standard
Synergies (type)	Strategic > revenue > cost (£170m run-rate est.)	Cost > revenue (£150m est.)	Operational only (£50m est.)
Risk / limitation	First £8bn+ luxury deal; mitigated by 60-80% stake	Rupert conservative on M&A; YNAP exit signals practical approach	IRR limited to < 1300p, misaligned with strategic premium
Offer (with synergies)	2,300-2,500p	2,200-2,400p	1,200-1,400p

Table 1: Three buyer archetypes

The choice of Exor for detailed valuation: the highest defensible synergy NPV and a partial-stake structure based on the Ferrari/Stellantis/Louboutin model. Where short-term operational stress exists, removing that stress matters more than integration, which would tarnish brand equity. This analysis refines the group's recommendation by extending it with a synergy NPV bridge at acquirer WACC and an LBO sensitivity floor.

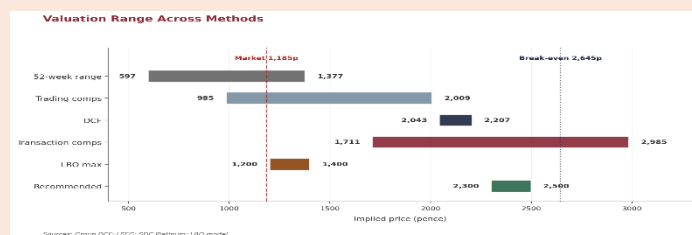


Figure 1: Consolidated valuation range across methods

Transaction Comparables: 17.4x Median Entry Multiple

Verified luxury precedents average around 17.4x median EV/EBITDA, with Stone Island the cleanest soft-luxury heritage anchor (Table 2). Applied to Burberry's £641.5m CY2 EBITDA, equity values at £10,671m, or 2,985p per share.

Tiffany's 27x reflects COVID-depressed EBITDA, normalising to 17 to 18x. The median 4-week premium of 50.4% sets a 1,782p minimum strategic offer.

Transaction Comparables: 17.4x Median Entry Multiple				
Deal	Year	EV/EBITDA	4-wk Premium	Status
LVMH / Tiffany	2019	27.0x	43.1%	Completed
Moncler / Stone Island	2020	17.4x	n/a (private)	Completed
Tapestry / Capri	2023	10.3x	57.6%	Withdrawn Oct 24
Prada / Versace	2025	n/a	n/a (private)	Completed Dec 25
Median		17.4x	50.4%	
Applied to Burberry £641.5m EBITDA		£11,162m EV	Implied 2,985p/sh	

Source: LSEG SDC Platinum (2 Jun 2026).

Table 2: Transaction comparables

Synergy NPV £1,878m Supports the Premium

Exor's non-operator model produces £170m run-rate synergies (Figure 2), of which £65m are strategic, £60m revenue, and £45m cost. Synergies discount at Exor's post-deal WACC of 7.5%, not Burberry's 10.10%, because they sit on the combined balance sheet. Phased Y1 30%, Y2 60%, Y3+ 100%; £170m one-time integration costs Y1; Gordon Growth terminal at 2%. Total Synergy NPV: £1,878m.

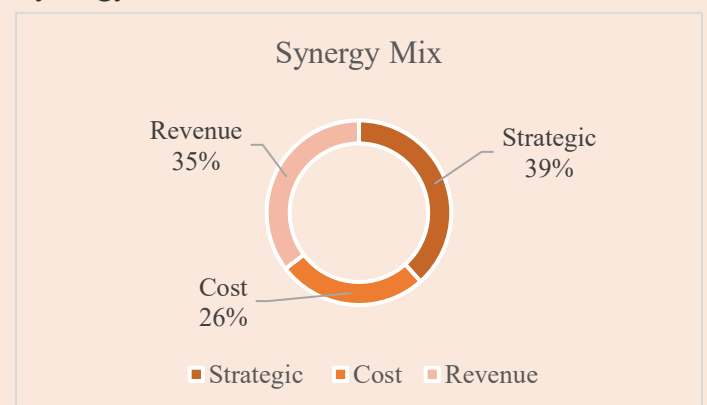


Figure 2: Synergy mix Chart

LBO Confirms Buyer-Specific Pricing

L Catterton's 18% IRR break-even sits at approximately 1,300p, below the current market (Figure 3). At a 2,500p entry, the IRR is (14.9%) and MOIC 0.45x. The sponsor cannot pass the strategic floor; only an acquirer monetising

balance-sheet synergies makes the deal viable.

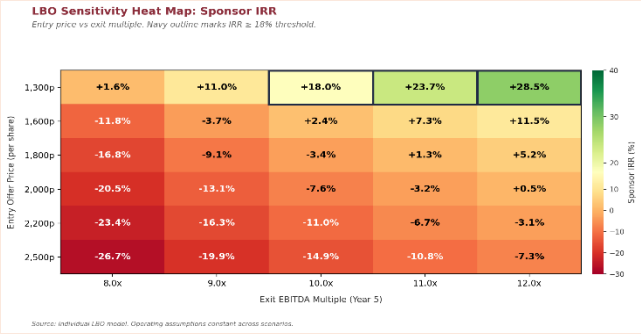


Figure 3: LBO sensitivity heat map

Recommended Offer 2,300 to 2,500p

Applying NPV = Synergy - Premium with V_B at intrinsic 2,120p, Exor's break-even offer is 2,645p (Figure 4). At the 2,500p midpoint, NPV to Exor is +£519m. Premium framing: 380p over intrinsic (economic surplus); 1,315p over market (111% premium for the Board). The recommended range sits between the premium-implied floor and Exor's break-even ceiling.



Figure 4: NPV to Exor sensitivity to offer price

Exor liquidity guarantees transaction certainty

Exor's preferred structure mirrors Louboutin and Ferrari: €2.5bn HoldCo cash, on-hand liquidity, HoldCo debt raising LTV to approx. 15%, no equity issuance. LVMH's \$16bn cash funding of Tiffany proved that investment-grade luxury acquirers fund large deals without paper. For an £8.9bn equity purchase, Exor deploys almost £2.5bn cash and £6.4bn investment-grade debt at 5.5% all-in. Financing certainty accelerates the timetable relative to balance-sheet-tight bidders.

Luxury M&A bifurcated toward heritage targets

Luxury M&A volumes 2024-26 continue below the 2019-21 peak, but activity has bifurcated. Heritage-authentic targets at cyclical troughs

attract strategic bids (Prada/Versace €1.25bn, December 2025), while mid-tier consolidation faces antitrust pressure (Tapestry/Capri blocked by FTC, October 2024). Bain (2025) forecasts sector recovery 2026-28 on China normalisation. Burberry's 170-year heritage, depressed earnings, and undefended Board place it in the strategically biddable quadrant.

Lower antitrust risk for Exor

The UK Enterprise Act 2002 jurisdiction triggers at £70m turnover, but Exor faces materially lower Phase 2 referral risk than peer conglomerates, given no existing UK heritage holdings or soft-luxury overlap. Takeover Code Rule 21 prohibits frustrating actions once an offer is announced: Burberry Forward asset rationalisation, store closures, and licence renegotiations must sequence ahead of the offer window. The 60-80% stake structure follows the Ferrari template, securing control without 100% squeeze-out obligations.

Plan B inferior to a strategic sale

Licensing extension to eyewear (Safilo precedent at 10% royalty), expanded fragrance and accessories generate £400m new revenue at 9% royalty: £36m annual income, £30m EBIT at 85% margin, capitalised at 10x = £300m incremental value, or 84p per share. Plan B captures only 84p versus the strategic offer's 1,315p per share premium. Retained as the Board's negotiating floor only.

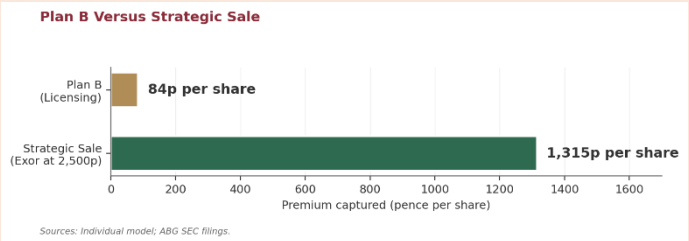


Figure 5: Plan B vs Strategic Sale Graph

Use of Generative AI. I acknowledge the use of ChatGPT 3.5 (OpenAI, <https://chat.openai.com/>) to generate an outline for background study and help with tables and charts formatting. I confirm that no output generated by GenAI has been presented as my own work.

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APPENDIX:

1. LBO Sources and Uses:

	USES (£m)		SOURCES (£m)
Equity purchase price (2,500p offer × 357.5m diluted shares ÷ 100 = £8,937m)	8,937.50	New Term Loan B (5.0x EBITDA)	3,210
Transaction fees (2%)	178.75	Senior unsecured notes (1.5x EBITDA)	960
Refinance existing debt	1,304	Balance sheet cash deployed	813
		Sponsor equity (residual)	5,437
TOTAL USES	10,420	TOTAL SOURCES	10,420

2. Synergy NPV Calculation:

	Y1	Y2	Y3	Y4	Y5	Terminal
% of run-rate	0.3	0.6	1	1	1	1
Pre-tax synergy (run-rate × phasing)	51	102	170	170	170	170
After-tax synergy (× (1 – tax))	38.25	76.5	127.5	127.5	127.5	127.5
Less: integration costs (one-time)	-170	0	0	0	0	0
Net synergy CF	-131.75	76.5	127.5	127.5	127.5	127.5